

HOW TO THINK ABOUT RISK?

Risks need not always have a negative outcome or impact. Without taking risks, we cannot get meaningful returns. Assets that give higher returns have higher risks attached to them. We cannot play it too safe and expect to meet all our financial goals. The very definition of investing is – “Reward for Risk Undertaken”. Hence, higher the risk, higher is the reward. This does not imply that we start making rash decisions or baseless risks to earn higher returns as that will blow up our entire Lazy Financial Plan.

The critical thing to do here is balance risk and return. We evaluate how much risk we can take based on our profile and secondly, how much risk we are willing to take. Remember, too much risk and our plan may not survive long term. And too little risk, we may not end up meeting our financial goals, which is an even bigger risk.

RISK TAKING ABILITY

it is the degree of risk that one can take based on their current financial circumstances i.e. assests, income, expenses, etc.

RISK TAKING WILLINGNESS

the degree of risk that one is actually comfortable with irrespective of the financial circumstances.

